How to Design a Database for Online Banking System

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Designing a **relational database** for an **online banking system** is an important and interesting task that requires careful **planning** and consideration. The database serves as the backbone of the **banking system** that **stores** and **organizes** large amounts of financial data **securely**.

In this guide, we will explore **How to Design a Relational Database for an Online Banking System** by designing the **entity relationship** diagram and **Database Model** with the help of various required **entities**, **attributes,** and **relationships**.

Database Design for Online Banking System

The database for the **Online Banking System** must efficiently manage **Account Details**, **Customer Details,** and **Transactions**. **Users** should be able to log in to the system and perform banking operations like **balance check**, **deposit**, **withdraw** and **money transfer**. Let's understand the overview of the **Online Banking System** through the below terms.

1. **User Management:**
   - We should manage user accounts which include registration, login and authentication.
   - Store user details such as name, email, address, and contact information securely.
2. **Account Management:**
   - Maintain records of bank accounts associated with each user.
   - Track account balances, transaction history, and account status (active, closed, etc.).
3. **Transaction Processing:**
   - Handle various types of transactions, including deposits, withdrawals, transfers, and bill payments.
   - Ensure transactions are secure, accurate, and recorded in real time.
4. **Security Features:**
   - Implement robust security measures to protect sensitive data and prevent unauthorized access.
   - Use encryption techniques to secure data transmission over the network.
5. **Reporting and Analytics:**
   - Generate reports on account activity, transaction history, and user behavior.
   - Use analytics to identify trends, detect fraud, and improve service offerings.
6. **Customer Support:**
   - Provide customer support features, such as chat support, FAQs, and helpdesk services.
   - Maintain records of customer interactions and feedback for improving services.

Online Banking System Features

- **User Login**: The user login feature is a important component of online banking systems by providing a secure gateway for users to access their accounts. Users must authenticate themselves with a valid **user ID** and **password** and sometimes additional security measures like OTP or biometric authentication are used for added security.
- **Check Balance:** After logging in the users can check the available balance in their bank accounts. This feature provides users with **real-time** information about their finances and helping them to manage their funds more effectively.
- **Send Money:** Online banking systems allow users to transfer money from their account to another valid account. Users need to provide the **recipients account number** and other necessary details to complete the transaction securely.
- **Add Beneficiary:** To make fund transfers easier and faster users can add beneficiaries to their account. Adding a beneficiary requires providing the recipient's account details and verifying the **relationship**, ensuring that the transfer is **authorized**.
- **Receive Money:** When a user receives money into their account, the transaction is recorded and the account balance is updated accordingly. This feature allows users to receive funds from other users or **external** sources.
- **Transaction History**: Users can view their transaction history, which includes details such as the **amount**, **time** and type of **transaction** like **deposit**, **withdrawal**, fund transfer. This feature helps users keep track of their financial activities and monitor their spending patterns.

Entities and Attributes of Online Banking System

1. Customer

- **CustomerID (primary key):** Unique identifier for each customer
- **Name:** Name of the customer.
- **Address:** Address of the customer.
- **Contact**: Contact details of the customer (e.g.: Phone number).
- **Username (Unique) :** username to login to the banking system.
- **Password:** Encrypted password of the user.

2. Account

- **AccountID (primary key):** Unique identifier of account.
- **CustomerID (foreign key referencing Customer):** Identifier of the customer who owns the account.
- **Type:** Defines the account type whether savings, current etc.
- **Balance:** Amount of money available in the account.

3. Transaction

- **TransactionID (primary key):** Unique identifier of the transaction, automatically increments.
- **AccountID (foreign key referencing Account):** Identifies the account where the transaction took place.
- **Type**: Defines the transaction type i.e. deposit or withdrawal.
- **Amount**: Shows the balance amount used for the transaction.
- **Timestamp:** The date and time of the transaction.

4. Beneficiary

- **BeneficiaryID (primary key):** Unique identifier of the beneficiary.
- **CustomerID(foreign key referencing Customer):** Identifies the customer who added the beneficiary.
- **Name:** Name of the beneficiary.
- **AccountNumber:** Account Number of the beneficiary.
- **BankDetails:** Bank Name of the Beneficiary added.

Relationships Between These Entities

Customer - Account relationship

- **One to Many Relationship:** One customer is allowed to create many accounts.
- **Foreign Key:** CustomerID in Account Table is referencing CustomerID in Customer Table.

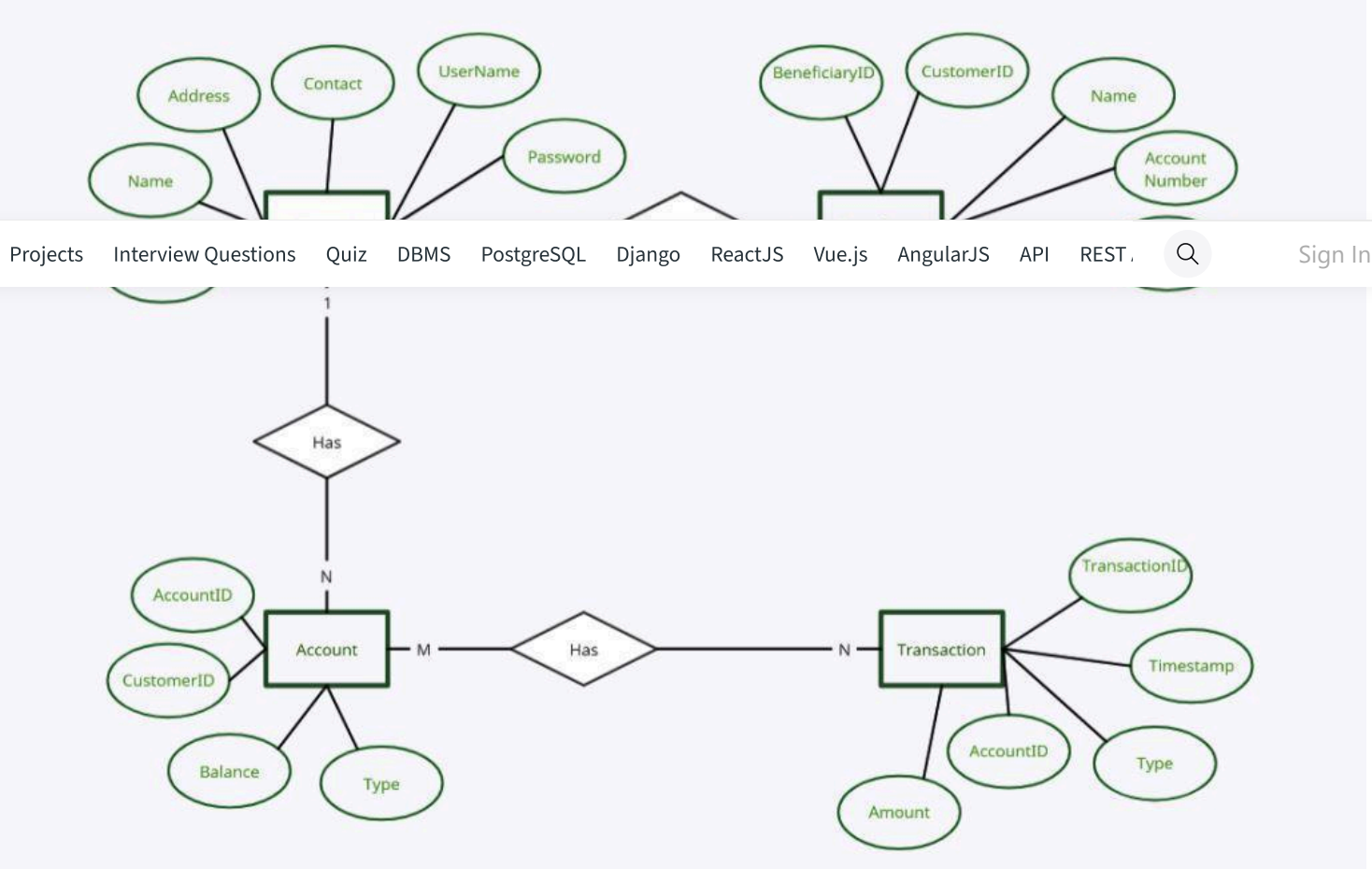
Customer - Beneficiary Relationship

- **One to Many Relationship:** A customer can add multiple beneficiaries.
- **Foreign Key:** CustomerID in Beneficiary is referencing to CustomerID in Customer Table.

Account - Transaction Relationship

- **Many to Many Relationship:** An account can have multiple transactions and a transaction can involve multiple account numbers.
- **Foreign Key:** AccountID in Transaction is referencing to AccountID in Account Table.

Representation of ER Diagram



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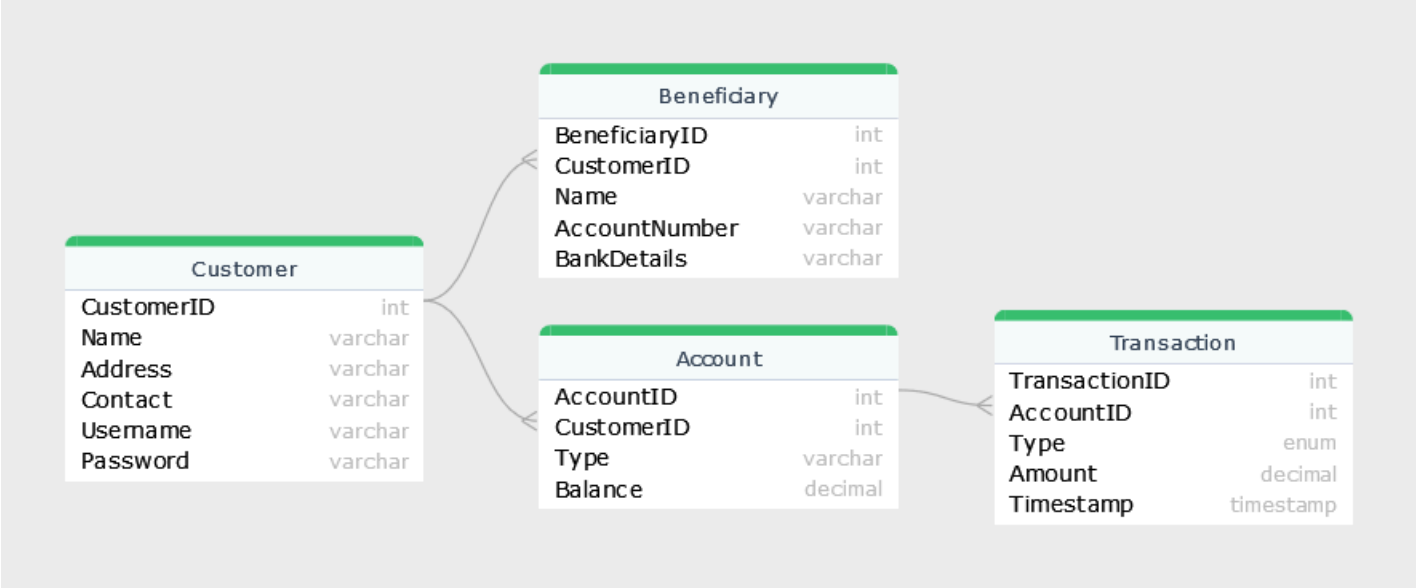
ER Diagram of Online Banking System

Representation of Database Model



Database Model for Online Banking System

Entities Structures in SQL format

```
-- Create Customer table CREATE TABLE Customer
(     CustomerID INT PRIMARY KEY,
Name VARCHAR(255),
Address VARCHAR(255),
Contact VARCHAR(255),
Username VARCHAR(50) UNIQUE,
Password VARCHAR(255)
);

-- Create Account table CREATE TABLE Account (
AccountID INT PRIMARY KEY ,
CustomerID INT,     Type VARCHAR(50),
Balance DECIMAL(10, 2),
FOREIGN KEY (CustomerID) REFERENCES Customer(CustomerID)
);

-- Create Transaction table CREATE TABLE Transaction
(
TransactionID INT PRIMARY KEY AUTO_INCREMENT,
AccountID INT,
Type ENUM('deposit', 'withdrawal'),
Amount DECIMAL(10, 2),
 Timestamp TIMESTAMP,
FOREIGN KEY (AccountID) REFERENCES Account(AccountID) );

-- Create Beneficiary table CREATE TABLE Beneficiary
(
BeneficiaryID INT PRIMARY KEY ,
CustomerID INT,     Name VARCHAR(255),
AccountNumber VARCHAR(50),
BankDetails VARCHAR(255),
FOREIGN KEY (CustomerID) REFERENCES Customer(CustomerID)
);
```

Tips and Tricks to Improve Database Design

- **Normalize Your Database:** Normalize your database to reduce redundancy and dependency, enhancing data integrity and storage efficiency.

- **Use Indexes Wisely:** Use indexes on columns frequently used in search conditions or join operations to improve query performance.
- **Optimize Queries:** Write efficient SQL queries by minimizing joins, using WHERE clauses effectively, and limiting retrieved columns to improve query performance.
- **Implement Security Measures:** Apply role-based access control, encryption, and parameterized queries to prevent unauthorized access and protect your data.
- **Document Your Database Design:** Documenting your schema helps in understanding, maintaining, and collaborating with others, ensuring your database remains well-structured and scalable.

Conclusion

Designing a relational database for Online Banking System involves defining entities, attributes, and relationships for efficient store and management of data. A well designed database can help in providing valuable business insights and improves user experience. By following database design principles such as normalization and establishing proper relationships can create a scalable and effective database.

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